

25SMCV03476 25SMCV03476

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TENTATIVE RULING

July 28, 2026

25SMCV03476 (Shashoua v. State Farm

General Insurance Company, et. al.)

RELEVANT BACKGROUND

On July 18, 2025, plaintiff Elisha Shshoua (Plaintiff) filed the initial complaint against State Farm General Insurance Company (State Farm) and Does 1-50. On September 15, 2025, Plaintiff filed a first amended complaint (FAC) alleging two causes of action: (1) breach of contract; (2) breach of duty of good faith and fair dealing.

Plaintiff alleges a theft/burglary occurred on November 20, 2024, causing unspecified damage to his property. (FAC, ¶ 9.) Plaintiff has an insurance policy with State Farm and reported the claim to State Farm. (FAC, ¶¶ 10-11; Exh. A [Policy].) Plaintiff provided documents to State Farm including a police report, itemized inventory, pre-loss photographs, receipts, content collaboration inventory, ESX estimate, and a professional flooring report. (FAC, ¶¶ 14, 17.) Plaintiff alleges State Farm engaged in a prolonged search for a replacement tile to match Plaintiff's existing flooring. (FAC, ¶ 15.) Plaintiff alleges that State Farm failed to approve payment for "the full replacement of the tile flooring" but instead searched for tile to match the flooring. (FAC, ¶¶ 15, 18.)

INSTANT MOTION

On August 1, 2025, State Farm filed the instant demurrer to the second cause of action alleged in the FAC for breach of the duty of good faith and fair dealing, as well as a motion to strike. Plaintiff filed an opposition and State Farm filed a reply.

MEET AND CONFER

The Court finds that State Farm has satisfied the meet and confer requirement. (Gargalis Decl., ¶¶ 3-5.)

DISCUSSION

I.

DEMURRER

A. Second Cause of Action – Breach of Good Faith and Fair Dealing

“A breach of the implied covenant of good faith and fair dealing involves something beyond breach of the contractual duty itself and it has been held that bad faith implies unfair dealing rather than mistaken judgment.” (Careau & Co. v. Security Pacific Business Credit, Inc. (1990) 222 Cal.App.3d 1371, 1394.) “If the allegations do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as no additional claim is actually stated ... [T]he only justification for asserting a separate cause of action for breach of the implied covenant is to obtain a tort recovery.” (Id. at pp. 1394-1395.) To recover in tort for breach of the implied covenant, the defendant must “have acted unreasonably or without proper cause.” (Id. at p. 1395 [citations and italics omitted].)

In the insurance context, a plaintiff must establish that the “insurer failed or refused to discharge its contractual duties not because of an honest mistake, bad judgment or negligence, but rather a conscious and deliberate act, which unfairly frustrates the agreed common purposes and disappoints the reasonable expectations of the other party thereby depriving that party of the benefits of

the agreement." (Century Surety Co. v. Polisso (2006) 139 Cal.App.4th 922, 948-949; see also Wilson v. 21st Century Ins. Co. (2007) 42 Cal.4th 713, 720; and Chateau Chamberay Homeowners Assn. v. Associated Internat. Ins. Co. (2001) 90 Cal.App.4th 335, 347.)

Here, State Farm argues that the second cause of action for Breach of Duty of Good Faith and Fair Dealing fails to state facts sufficient to amount to a cause of action because Plaintiff has not alleged facts to show unreasonable conduct by State Farm. State Farm contends that California law is clear that an "insurer's erroneous failure to pay benefits under a policy does not necessarily constitute bad faith entitling the insured to recover tort damage," citing Opsal v. United Services Auto. Assn. (1992) 2 Cal.App.4th 1197, 1205 and Century, 139 Cal.App.4th at pp. 948-949. State Farm correctly asserts that Plaintiff must plead facts demonstrating that State Farm acted unreasonably in denying benefits to him and that the test of bad faith liability is "whether the refusal to pay policy benefits was unreasonable." (Opsal, 2 Cal.App.4th at p. 1205.)

In opposition, Plaintiff argues that "the FAC alleges a systematic pattern of unreasonable claims handling, including repeated requests for the same documents, dilatory tactics spanning nearly eight months, a prolonged and fruitless search for replacement tile despite knowledge that no matching tile existed, and deliberate refusal to pay benefits the insurer knew were due under the policy." (Opp at 1:7-12.) In support, Plaintiff points to paragraphs 9, and 14-20 in the FAC.

Plaintiff argues State Farm's conduct in seeking replacement tiles was unreasonable because "it knew it would not be able to do" so and it had "full knowledge that no such tile was available". (Opp., p. 7:2-8, FAC ¶ 18.) But, as State Farm points out in reply, there are no facts alleged to support this conclusion. Additionally, while Plaintiff generally alleges that there were duplicative demands from State Farm (Id ¶ 14, 18), Plaintiff does not identify any such duplicative demands or allege any facts to show that any request was unreasonable. Moreover, Plaintiff argues bad faith lies where the insurer withholds benefits without any reasonable basis, but the allegations in the FAC regarding State Farm's search for replacement tiles do not establish unreasonableness. Lastly, Plaintiff assertions that State Farm deliberately stalled the process (Id. ¶ 17) is conclusory and lacks supporting facts.

But the Court finds that it is
reasonably possible that Plaintiff can cure the defects through amendment.

Accordingly, State Farm's demurrer
to the second cause of action is SUSTAINED WITH LEAVE TO AMEND.

II.
MOTION
TO STRIKE

Based on the foregoing, State Farm's
motion to strike is also GRANTED WITH LEAVE TO AMEND.

Plaintiff may have thirty (30) days
in which to file and serve an amended complaint.